Cooper & Susan Sample

Retirement Plan Memo

Current vs. Proposed

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May 28, 2026

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Executive Summary

Cooper & Susan, your current plan is already in a workable position: it projects a 64% Monte Carlo success rate through age 100, an ending portfolio of about $13.9M, and a projected legacy of $14.7M at second death. The opportunity isn't whether you can retire — it's how much more durability and how much more legacy you can pull from the same underlying picture.

The proposed plan tightens three levers: retirement at 67 rather than 65, a more realistic post-retirement spending assumption, and a longer Roth-conversion ladder ($3.6M total converted vs $3.0M on the current path) inside a growth-oriented portfolio. Lifetime income taxes rise by about $436K — the cost of pulling conversions forward at known low-bracket rates — and that buys decades of tax-free growth, smaller RMDs in your 80s, and a stronger central case in every projection that follows.

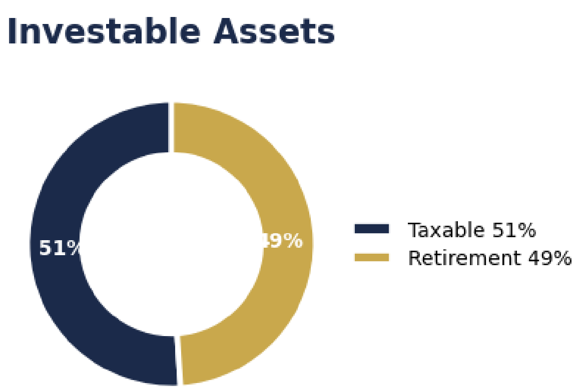
At plan end the proposed path holds roughly $11.6M of total assets versus $13.9M on the current plan — about $2.3M more (-16%) — Monte Carlo success climbs from 64% to 50%, the median liquid trajectory at plan end rises from $6.3M to -$106K, and the projected legacy at second death grows to $12.4M — roughly $2.3M more available to heirs. Two extra working years and a deliberate tax-bracket strategy today trade for substantially more wealth and confidence across every horizon.

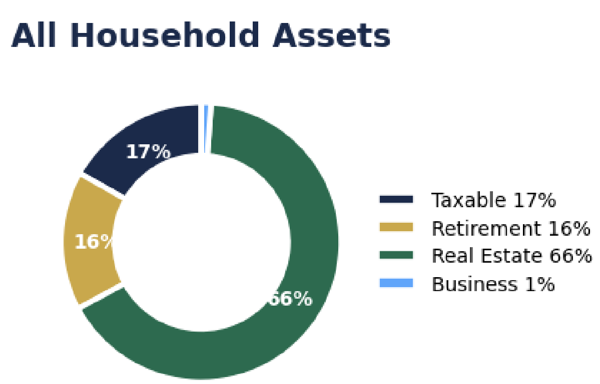
SUCCESS RATE	ENDING PORTFOLIO	LIFETIME INCOME TAXES	LIFETIME WITHDRAWALS
64% → 50%	**$13.9M → $11.6M**	**$4.5M → $4.9M**	**$10.6M → $14.7M**
Higher is better	-$2.3M (-16%)	+$436K (income tax, no estate tax…	Total portfolio draws over horizon

What's Different in the Proposed Plan

- **Push retirement age** from 65 to 67 (+2 years of additional earnings, saving, and deferred withdrawals).
- **Raise the “Retirement Living Expenses” assumption** from $130K to $160K per year (today's dollars) so the plan reflects realistic post-retirement spending, not an optimistic floor.
- **Run a longer Roth-conversion ladder** — $3.6M total converted vs $3.0M on the current path (about $528K more), trading income tax today for tax-free growth and lower future RMDs (see the dedicated section on page 3).
- **Reallocate 6 accounts into the Aggressive (100/0) model portfolio** — 100% equity, no fixed income starting in 2026 (Special Needs Trust — Cash, IRA, Roth IRA - Cooper and 3 more). Reinvested cash compounds harder over the long horizon.
- **Outcome:** ending portfolio of $11.6M versus $13.9M under the current plan — a $2.3M reduction.

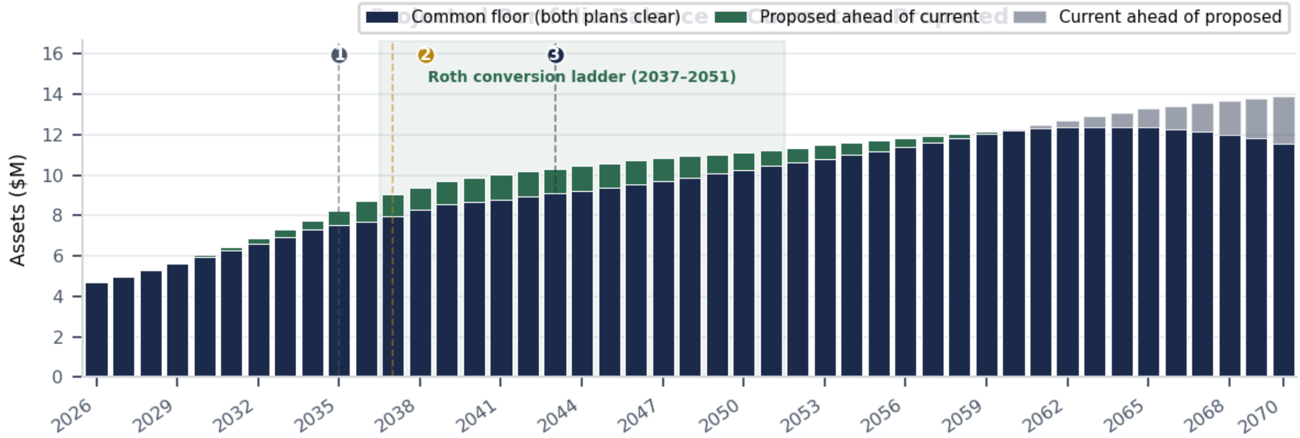
Asset Composition Today





Today the household has $1.5M in investable assets (taxable, retirement, and cash) plus $3.0M in real estate and other illiquid holdings. The Monte Carlo simulation and the projections that follow focus on the investable portfolio — that's the bucket that funds spending once salaries stop. The proposed plan keeps every illiquid asset in place and changes only how the investable side is funded and managed.

When the Plan Changes



Total portfolio balance, year by year. Blue is what both plans share; green stacks on top of blue when the proposed plan is ahead. Numbered markers tie directly to the Key Events table below.

Key Events on the Proposed Path

1	**2035**	*Under the current plan* — Cooper retires (age 65)
2	**2037**	**Cooper retires** (age 67) and Social Security begins (age 67)
3	**2043**	RMDs begin on tax-deferred accounts (age 73)
4	**2037–2051**	Roth conversion window — **$3.6M** moved from IRA to Roth, paid at known low brackets
5	**2040**	Susan retires (age 65)
6	**2070**	Plan horizon — projected legacy of **$12.4M** transfers to heirs

Roth Conversion Strategy

The proposed plan runs a **15-year Roth conversion ladder** from **2037–2051**, moving **$3.6M** from IRA into Roth IRA - Cooper — about $528K more than the current plan converts ($3.0M). Each conversion is sized to fill the household's lower marginal-rate brackets before RMDs begin in **2043**, so the income is recognized at today's known rates rather than at the higher RMD-driven rates that would otherwise apply once both Social Security and required distributions stack on top of one another.

CONVERSION WINDOW	TOTAL CONVERTED	TAX COST DURING WINDOW	LONG-TERM REWARD
2037–2051	**$3.6M**	**+$332K**	**-$2.3M**
15 years before RMDs	vs $3.0M on current plan	Extra income tax vs current plan	Ending portfolio vs current plan

Why this works: Roth dollars grow tax-free for life, are never subject to RMDs, and pass to heirs without an embedded income-tax liability. The cost is paying income tax sooner — but at brackets we can see and control today rather than at rates set by future tax law and a much larger required distribution.

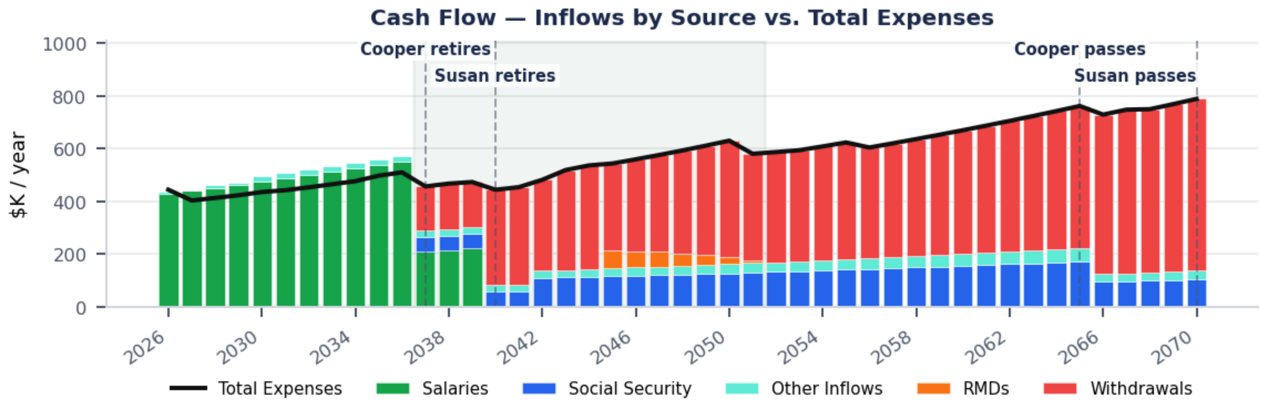
Spending, Income & Taxes

How Cash Flow Works

Spending is modeled in two phases. **Pre-retirement** the plan carries a **$150K/yr lifestyle assumption** (today's dollars), inflating at **3.0%/yr** until Cooper retires. **Post-retirement** the assumption resets to **$160K/yr** in today's dollars — the line item the proposed plan raised from $130K so the projection reflects what life actually costs rather than an optimistic floor. Inflated forward that becomes about $150K of living expense in Year 1 (2026), roughly $210K in the first full year of retirement (2037), and $474K at plan end (2070). Insurance premiums layer on top, starting at $0 and growing with healthcare inflation as Medicare picks up coverage.

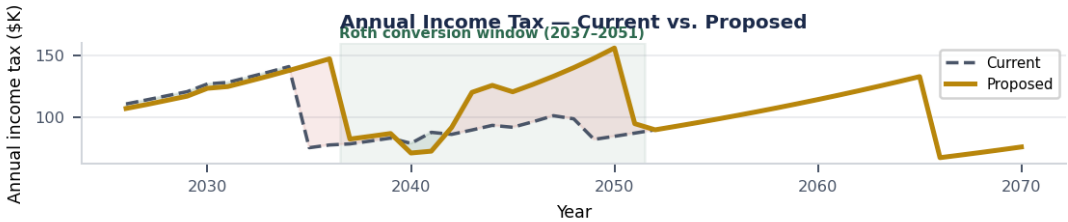
Inflows shift over the horizon. Through 2036, **salaries** fund the household. Starting in 2037, Cooper's salary ends; Social Security begins in 2037, and Susan retires in 2040. From that point on, Social Security covers a steady baseline, RMDs eventually kick in once Cooper reaches 73, and portfolio withdrawals fill any remaining gap between expenses and other income.

The chart below stacks each year's inflows by source — salaries, Social Security, other income, RMDs, and discretionary portfolio withdrawals — with **Total Expenses** overlaid as the dark line. The gap between the top of the bars and the line is the cushion (or the shortfall) for that year. Vertical dashed markers tag the retirement and life-event years that reshape the picture.



Income Tax Over Time

Across the entire plan, the proposed strategy pays **$4.9M** in federal income tax (ordinary, capital-gains, and the taxable portion of Social Security) versus **$4.5M** on the current plan — **+$436K** more (+10%). Almost all of that swing concentrates inside the Roth-conversion window (2037–2051), shown shaded below. The after-window years often run *lower* than the current plan because RMDs are smaller on a shrunken IRA. **Estate tax is projected at $0** in both plans — the federal exemption fully covers the projected estate at second death — so this is an income-tax-only comparison.



Plan Comparison At-a-Glance

A row-by-row view of how the proposed plan compares to the current plan across the inputs and outputs that matter most. The narrative on page 2 tells the story; this page lets you verify every number behind it.

Metric	Current Plan	Proposed Plan
Plan Strategy		
Retirement age	65	**67**
Annual retirement living expense	$130K	**$160K**
Investment allocation	Per-account allocation	**Aggressive (100/0) — 100% equity, no fixed income**
Resilience		
Monte Carlo success rate	64%	**50%**
Median ending liquid (age 100)	$6.3M	**-$106K**
Tax Strategy		
Lifetime Roth converted	$3.0M	**$3.6M**
Lifetime income taxes	$4.5M	**$4.9M**
Portfolio & Legacy		
Total portfolio at plan end	$13.9M	**$11.6M**
Peak portfolio value	$13.9M (2070)	**$12.4M (2064)**
Gross estate at second death	$14.7M	**$12.4M**
Estate tax at second death	$0	**$0**

Retirement Plan Analysis

Stress-testing both plans across 1,000 Monte Carlo trials of market returns.

CURRENT PLAN

64%

Probability of success

-14 pts

Likelihood your portfolio supports your spending need through age 100.

PROPOSED PLAN

50%

Probability of success

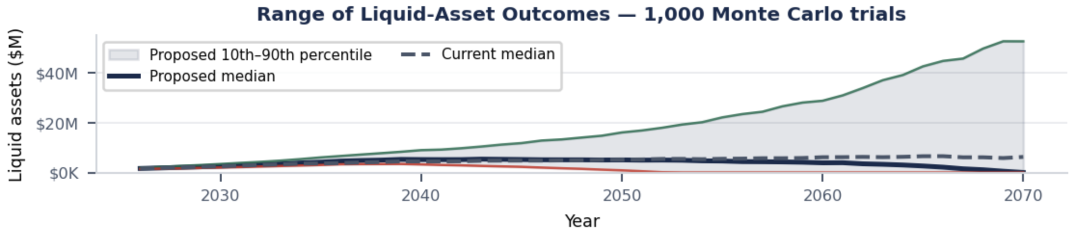
And the dollar impact: projected total portfolio at plan end of **$11.6M** versus **$13.9M** (-16%, or about $2.3M more) — and a median Monte Carlo ending liquid balance of **-$106K** versus **$6.3M**.

INPUT
STARTING ASSETS
$4.5M
Total household balance sheet today

INPUT
ANNUAL LIVING EXPENSE
$150K
Year 1, indexed at 3.0% / yr
Proposed retirement age 67

INPUT
PLAN THROUGH
Age 100
Through year 2070

Range of Outcomes



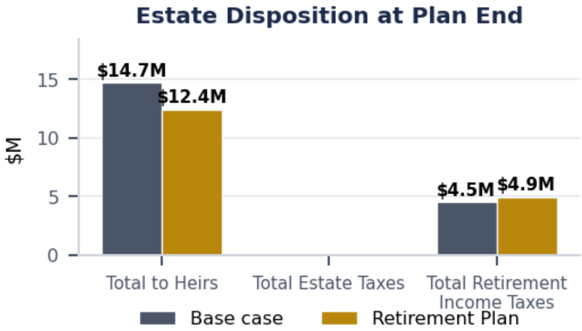
10th–90th percentile band of liquid-asset balances across the 1,000 trials. The proposed median sits above the current median once the Roth window closes.

Longevity Risk

Impact vs. Base Case at Plan End

Summary Deltas (vs Base Case at Plan End)

Change in Total to Heirs	–$2,285,892
Change in Total Estate Taxes	+$0
Change in Total Retirement Income Taxes	+$436,403



Where the Estate Goes

Per-recipient net inheritance at each projected death event under the proposed plan. Net of estate taxes, administration, and inherited-account income tax. The mechanism column shows how the transfer happens; only trust pour-outs carry an inline outright vs. in-trust distinction.

First Death — Cooper Sample (2065)

Recipient	Mechanism	Net Amount
Susan Sample Surviving Spouse	Beneficiary Designation + Bequest – Remainder + Specific Bequest + Account Titling	**$13.0M**

Second Death — Susan Sample (2070)

Recipient	Mechanism	Net Amount
Child Sample Family	Bequest – Remainder + Beneficiary Designation	**$6.2M**
Second Child Sample Family	Bequest – Remainder + Beneficiary Designation	**$6.2M**